Similarly, research conducted in Slovenia asserts that the extent of undeclared work and its modalities in the care sector (such as cleaning services, childcare and elderly care) are influenced by the existing social policy. As studies emphasise, the availability and affordability of formal services reduces the demand for undeclared paid labour and vice versa (Humer and Hrženjak, 2016; Hrženjak, 2019; Bembič and Čehovin Zajc, 2024). Hrženjak (2019) compares public services in childcare (preschool care and education for children aged between 11 months and 6 years) with long-term care for older people. On the one hand, a dense network of public kindergartens guarantees a place for almost every child and minimises the need for informal paid labour. On the other hand, residential care for older people consists of a mix of public and private service providers whose services are considered inadequate (IRSSV, 2023; SSVS, 2023). It is therefore not surprising that the 2020 Eurobarometer survey on undeclared work in the European Union shows that the demand for 'assistants for a dependent or elderly person' is a more important factor driving undeclared work in Slovenia than in any other EU country except Luxembourg (Bembič and Čehovin Zajc, 2024).

According to the latest PHS Employment Monitor report, the perceived cost of declared work is seen as the primary driver of undeclared work in the PHS sector (EFFAT et al, 2024). Some 66.2 % of PHS provider companies and organisations surveyed identified 'the higher labour cost of declared work' as being a key driver of undeclared work. On the one hand, this results from the significant cost difference between declared and undeclared care work, with formal employment relationships being considerably more expensive as they include costs such as taxes and social security contributions. That difference can be decisive for family budgets. On the other hand, the resort to undeclared work must also be seen as stemming from the failure to recognise the true value of care provision, including the emotional support provided, which could affect people's willingness to pay higher prices for care.

In simple terms, households' demand for undeclared work increases with the differential between the cost of undeclared care services and the cost of formal care services: the greater the differential, the more inclined households may be to choose undeclared services to satisfy their needs (EFSI, 2018; Manoudi et al, 2018). In addition, the price elasticity of demand ([3]) in the PHS sector is high, which means that price plays a decisive role for households deciding to purchase PHS. For example, in response to price hikes, households might reduce the hours of professional cleaning services they purchase or even do the work themselves. Demand for care services is less elastic – it varies less with price – than for non-care services (such as cleaning and gardening), as care activities are a more specialised, ongoing need (ELA, 2021). For example, while a household might reduce cleaning hours provided by an external party, it is far less likely to reduce the hours of critical care services for a child with special needs.

A recent report from the Foundation for European Progressive Studies (FEPS) on the European Care Strategy presented some interesting calculations on the cost differentials between declared and undeclared care work in the EU. While recipients of undeclared care services pay an average hourly rate of EUR 7.70, the service costs for declared care through providers are significantly higher, reaching EUR 21.40 per hour for direct care and EUR 17.80 for indirect care services. Even when care workers are directly employed, the declared cost (EUR 13.50 per hour) is nearly double that of undeclared arrangements. These figures, when compared with the average declared hourly cost of the average worker across the broader economy (EUR 25.35), illustrate both the substantial cost advantages driving undeclared care arrangements and the systematic undervaluation of care work, even in formal settings (Thissen and Mach, 2023).

Cyprus provides a concrete example of pay in the formal care sector, where care workers are employed on four-year contracts as domestic workers and usually perform not only cleaning but also childcare and elderly care duties, or a combination of them, depending on the needs and composition of the household of the employer. The minimum gross salary for domestic workers is EUR 460 per month, and deductions include payments to the social insurance fund, the redundancy fund and the general health system fund. The net salary after all deductions is around EUR 309. Domestic workers and workers in agriculture (mostly male third-country nationals) are not covered by the national minimum wage law. The law has been implemented since 2022, and it provides a minimum monthly gross salary of EUR 940, which increases to EUR 1 000 after six months of continuous employment. Furthermore, domestic workers are not entitled to overtime pay or the 13th month salary (which is at the discretion of employers) and enjoy fewer public holidays than employees in other occupations (9 days versus 16 days annually, respectively). Additionally, the provisions of domestic workers' contracts state that they can only be terminated upon the agreement of both parties – employee and employer – which means that a worker cannot move to another employer if the current employer does not provide a signed release document.

([3]) The sensitivity of demand to variation in price. Elastic demand varies with price changes, whereas less elastic or inelastic demand does not change or respond to price changes.